

Revamp tax structure to promote indigenous manufacturing of consumer electronics and durables



Wg Cdr Suresh Khanna, secretary general, Consumer Electronics and Appliances Manufacturers' Association (CEAMA), is upbeat about the speedy implementation of GST. He strongly recommends elimination of additional customs duty (ACD) of 4 per cent on imports. However, imports should be brought under VAT net in order to provide level-playing field to indigenous manufacturers.

Customs duty should be least on raw materials and highest on finished products. For components, it should be higher than raw materials, but less than finished products. Customs duty on import of moulds and dies for all electrical and electronic equipment should be made nil.

Optical disk drive (ODD) manufacturing is a major concern. According to Khanna, presently, it is not viable in India due to inverted duty structure. He suggests that all duties on the parts/components required for manufacturing of ODD products should be made nil under IGCR (import of goods under concessional rate of duty). The industry can generate additional employment and contribute additional revenue to the state exchequer if duty-free sale from export-oriented units (EOUs) to domestic tariff area (DTA) is allowed.

The capital goods required for implementing a project in consumer electronics and home appliances should attract nil import duty rather than the current 5 per cent. Khanna also expects lowering of CENVAT on energy-efficient home appliances and consumer electronics products.

Further, Khanna suggests abatement of service tax on annual maintenance contract (AMC). Based on historical evidence, 30 per cent of a typical AMC is attributable to material and the balance 70 per cent to labour. Service tax should be collected on 70 per cent of the maintenance contract value only. Applicable VAT may be charged on the balance 30 per cent of the contract value.

Implementation of GST is in demand



S.R. Sabapathi, chairman and managing director of Qmax, puts special emphasis on GST. He suggests that CVD and VAT should be made a single tax under GST. When raw materials are imported the GST paid should be credited while the finished goods are exported, and when finished products are sold domestically GST on selling price should be applied. Customs tax may be applied as anti-dumping duty only.

Capital gain tax and dividend tax should be abolished. As companies already pay tax for the income earned, taxing the income distributed to investors as dividend is double taxation.

A clear national plan should be developed to increase the reach and reduce the cost of energy-efficient products



P.K. Sood, chairman, Regnant, stresses on self-dependency in hardware manufacturing. He says, "We must learn from Japanese, Taiwanese, Chinese and Korean business models wherein local hardware manufacturing is supported by local availability of critical and strategic electronic components at internationally competitive prices with the requisite after-sales mechanisms."

The new budget should reflect the government's willingness to clear the bottlenecks at different levels by encouraging joint initiatives involving the government, industry and consumers. "A clear national plan should be developed to increase the reach and reduce the cost of energy-efficient products if our honourable prime minister Dr Manmohan Singh's action plan for 'Power for All' is to be realised as per the targets set," opines Sood.

Sood also recommends special concessions for units having manufacturing facilities for LEDs and semiconductors. Low and uniform taxation on finished energy-efficient products (having at least three-star rating set by the Bureau of Energy Efficiency) will ensure that the consumer price for these products remains attractive compared to other options. Import duties on capital goods and measurement instruments needed for manufacturing as well as QA/QC of energy-efficient goods should be abolished.

PCBs should be recognised as a part of electronic components industry



C.S. Bhaskar, chief-customer support (technical), Circuit Systems (India), lists out a few important issues related to the PCBs—the base component of electronics industry. The most important issue is lack of supply chain. Bhaskar says, "We have no raw material producers in India and 80 per cent of raw materials are imported. This is seriously affecting competition with global players in terms of cost and delivery."

Further, there are no noteworthy labs that are doing R&D, which is why there is a huge gap between supply and demand.

Lack of finance is the biggest hindrance for expansion and growth. For this reason, Bhaskar expects support from government-owned financial sectors.

PCB manufacturers have to follow very stringent environmental norms that are affecting their growth and expansion. Each state has its own norms. Bhaskar expects recognition of the PCB sector as a part of the electronic components industry and common environmental norms throughout.